

Undertaking to the Australian Competition and Consumer Commission

**Given under section 87B of the Competition
and Consumer Act 2010 by
FOXTEL Management Pty Limited (for and on
behalf of the FOXTEL Partnership)**

1. Person Giving this Undertaking

- (a) This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by FOXTEL Management Pty Limited (ACN 068 671 938) for and on behalf of the FOXTEL Partnership (which is the partnership established between Telstra Media and Sky Cable) (**FOXTEL**).
- (b) References to FOXTEL in this Undertaking refer to the partnership as an Entity, and not to Telstra Media and Sky Cable in their individual capacities. References to FOXTEL include the FOXTEL Group.
- (c) FOXTEL Management Pty Limited has all necessary authorities to act for and on behalf of the FOXTEL Partnership in the giving of this Undertaking.

2. Background

2.1 The parties and the transaction

- (a) FOXTEL is in the business of supplying a Subscription Television Service. It is Australia's largest supplier of Subscription Television Services, with over 1.6 million residential subscribers in the metropolitan areas of Australia (Sydney, Melbourne, Brisbane, Adelaide and Perth) as well as all of Western Australia, Newcastle, the New South Wales Central Coast and the Gold Coast. FOXTEL is also in the business of acquiring subscription television channels and acquiring and compiling subscription television programming to include as part of its Subscription Television Service.
- (b) FOXTEL Management Pty Limited is agent for (and manager of) the FOXTEL Partnership. Telstra Media and Sky Cable each hold a 50% interest in the FOXTEL Partnership. Telstra Media is wholly owned by Telstra. Sky Cable is wholly owned by FOX SPORTS Australia. News and CMH each hold a 50% interest in FOX SPORTS Australia.
- (c) AUSTAR United Communications Limited (**AUSTAR**) is in the business of supplying a Subscription Television Service. It has over 750,000 subscribers in rural and regional Australia (except Western Australia), all of Tasmania, the Northern Territory and the Gold Coast. AUSTAR is also in the business of acquiring subscription television channels to include as part of its Subscription Television Service.
- (d) AUSTAR is listed on the Australian Securities Exchange. Approximately 54.15% of AUSTAR shares are held by Liberty Global, Inc (a Delaware corporation) (**Liberty**), through certain subsidiaries.
- (e) On 11 July 2011, FOXTEL Management Pty Limited, certain other FOXTEL entities, and each of Telstra Media and Sky Cable (principally in their capacity as partners of the FOXTEL Partnership), among others, entered into a number of transaction documents with Liberty, certain Liberty subsidiaries and AUSTAR (the

Transaction Documents). The ultimate effect of the Transaction Documents is to provide for the acquisition by FOXTEL of all the issued shares in AUSTAR (the **Proposed Acquisition**).

2.2 The ACCC's review

- (a) On 26 May 2011, the ACCC commenced its public review of the Proposed Acquisition. The ACCC undertook extensive market inquiries and considered information provided by the parties, industry participants, and others. The ACCC's inquiries were aimed at assessing whether or not the Proposed Acquisition would have the effect or be likely to have the effect of substantially lessening competition in a market in contravention of section 50 of the CCA.

2.3 The ACCC's competition concerns

- (a) The ACCC considers that, in the absence of this Undertaking, the Proposed Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in:
 - (i) the national market for the retail supply of Subscription Television Services; and
 - (ii) a number of regional markets for the supply of fixed broadband and fixed voice telephony products.
- (b) The foundation of the ACCC's concern is that the Proposed Acquisition will:
 - (i) bring together the two market participants in Australia who have a substantial customer base in subscription television and access to key content; and
 - (ii) extend Telstra's 50% ownership from one of those key players (i.e. FOXTEL), to both of them (i.e. FOXTEL and AUSTAR).
- (c) Based on information obtained during the course of its review of the Proposed Acquisition, the ACCC considers that three primary structural issues are generally relevant to competition in telecommunications and audio-visual markets in the context of the Proposed Acquisition:
 - (i) access to content delivery infrastructure;
 - (ii) access to attractive content; and
 - (iii) an established substantial subscription television customer base.
- (d) The ACCC considers that AUSTAR has a distinct and established substantial customer base; actual or potential independent access to attractive content; and access to satellite content delivery infrastructure. The Proposed Acquisition would consolidate these three core structural underpinnings in the hands of FOXTEL.
- (e) Therefore, if the Proposed Acquisition did not proceed there would be greater potential for competition from AUSTAR with FOXTEL and Telstra in subscription television and telecommunications markets. That potential competition could unfold in a number of ways. The ACCC considers that the two most likely are:

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- (i) AUSTAR independently entering into telecommunications markets by offering consumers bundles comprising subscription television content and telecommunications services or entering alliances with ISPs to offer such bundles; and/or
 - (ii) the breaking down of the historical geographic broadcast rights demarcation between FOXTEL and AUSTAR, particularly through the emergence of national internet content delivery competition using Internet Protocol Television (*IPTV*).
 - (f) The ACCC considers that:
 - (i) Telstra's ownership of 50% of FOXTEL is likely to limit the development of competition in markets for the supply of fixed broadband and fixed voice services; and
 - (ii) Telstra, by virtue of its shareholder relationship with FOXTEL, would be likely to obtain preferential access to content acquired by FOXTEL and the Proposed Acquisition would extend this advantage to the distinct geographic areas serviced by AUSTAR.
 - (g) Further, as telecommunications networks and IPTV products develop, it is likely that it will become increasingly important for retail telecommunications service providers to be able to bundle subscription television content with fixed voice and broadband services in order to be able to compete effectively with other retail telecommunications service providers. The increasing importance of bundling would compound the ACCC's competition concerns because:
 - (i) entry by AUSTAR into telecommunications markets would become both more likely to occur and more likely to have a significant competitive impact, given AUSTAR's ability to access compelling subscription television content; and
 - (ii) the competitive advantage enjoyed by Telstra by virtue of its relationship with FOXTEL and consequently, the detrimental effect of extending this relationship to AUSTAR, would be likely to increase.
 - (h) As telecommunications networks and content delivery systems develop and improve, FOXTEL and/or AUSTAR are likely to develop IPTV services that are differentiated from their existing Satellite and Cable Subscription Television Services.
 - (i) The ACCC considers that FOXTEL and AUSTAR are likely to have an incentive to supply their differentiated IPTV services on a national basis. Over time, this would make it increasingly likely that the historical geographic demarcation of broadcast rights would break down. FOXTEL and/or AUSTAR would not need to obtain national broadcast rights to all (or most) of the content broadcast on their traditional Subscription Television Services and the content on IPTV services could continue to be developed over time.
 - (j) The ACCC considers that FOXTEL and AUSTAR will be in the best position to access New Distribution Rights to develop strong competitive national IPTV

products, either directly or in partnership with other parties such as Telstra or other telecommunications service providers, given their existing relationships with content providers arising from access to an existing substantial subscription television customer base.

- (k) The ACCC is concerned that the Proposed Acquisition could:
 - (i) foreclose potential future competition between FOXTEL and AUSTAR; and
 - (ii) allow the merged entity to leverage its existing substantial customer base in the national market for the retail supply of Subscription Television Services to acquire New Distribution Rights on an exclusive basis and consequently constrain competitive entry or expansion.

2.4 Objective of this Undertaking

- (a) FOXTEL does not agree with the concerns expressed by the ACCC and does not consider that the Proposed Acquisition would be likely to substantially lessen competition in any market. However, in order to avoid delay and to address the ACCC's competition concerns, FOXTEL has agreed, without admission, to give this Undertaking pursuant to section 87B of the CCA.
- (b) The objective of this Undertaking is to address the ACCC's concerns about competitive detriment that would otherwise arise as a result of the Proposed Acquisition (as outlined in clause 2.3 above). This Undertaking is not intended to resolve competition concerns or structural issues that may have already existed in the relevant markets and would not arise as a result of the Proposed Acquisition.
- (c) In this regard, the ACCC considers that, to the extent that FOXTEL's (and its shareholders') ownership of exclusive sports rights may raise competition concerns, these concerns exist independently of the Proposed Acquisition. While premium domestic sport is therefore not offered as part of this Undertaking, the ACCC considers that a package of content which does not include this sport should be sufficient to address the competitive harm that is likely to arise as a result of the Proposed Acquisition.
- (d) This Undertaking aims to achieve this objective by preventing FOXTEL from entering into exclusive arrangements with certain content suppliers so as to enable competing content aggregators and/or telecommunications service providers to bid to acquire rights to content which can be provided as part of an IPTV service.
- (e) This Undertaking aims to make available sufficient attractive content to emerging competitors to the merged entity and Telstra to enable them to develop competitive and sustainable IPTV offers. By reducing content exclusivity, this Undertaking aims to lower barriers to entry and allow new effective competition in telecommunications and subscription television markets.
- (f) This Undertaking is directed at reducing FOXTEL's ability, directly or indirectly, to take advantage of its substantial customer base to obtain exclusive rights to attractive content. This in turn is intended to present opportunities for smaller competitors or new entrants to develop attractive content services and grow a

sufficient subscriber base to be able to maintain and continue to develop competitive IPTV offers after this Undertaking has expired. The ACCC considers that this approach is most likely to reduce barriers to entry without dampening incentives for content suppliers or subscription television operators to be innovative and competitive.

Key elements

- (g) The core element of this Undertaking is an obligation on FOXTEL not to acquire New Distribution Rights to certain independent content on an Exclusive Basis. The Undertaking also prevents FOXTEL from acquiring those same rights from anyone if an Ultimate Shareholder Entity acquires those rights on an Exclusive Basis.
- (h) The content protected by the Undertaking includes Linear Channels offered by Independent Content Suppliers, subscription video on demand (**SVOD**) rights from Independent Content Suppliers for programs that are under licence for their Linear Channel, linear Movie rights and SVOD rights to current Movies from 50% of the Major Studios and 50% of eight named independent studios, Movie TVOD Rights and SVOD rights to library Movies.
- (i) The concept of New Distribution Rights is intended to capture rights to deliver content by IPTV or other content delivery technology that may develop during the term of this Undertaking.
- (j) As the ACCC's competition concerns primarily related to competition using IPTV technology, FOXTEL will retain the ability to acquire exclusive rights for the distribution of content by Cable, Satellite and Mobile Networks to Mobile Devices where the Mobile Network enables the Mobile Device to have mobility between cells, other than Mobile Rights to enable third party subscribers to Aggregated Content, SVOD Rights, EVOD Rights or Movies to also receive that content on a Mobile Device.
- (k) In addition, this Undertaking aims to further lower barriers to entry by providing necessary signal access to Linear Channels distributed by Independent Content Suppliers (and which FOXTEL itself distributes to its subscribers) to third parties.
- (l) This Undertaking is also intended to extend FOXTEL's Special Access Undertaking so that content providers can access AUSTAR subscribers as well as the existing arrangements for FOXTEL subscribers.

3. Commencement of this Undertaking

This Undertaking comes into effect on the date when:

- (a) this Undertaking is executed by FOXTEL; and
 - (b) this Undertaking so executed is accepted by the ACCC,
- (the **Commencement Date**).

4. Cessation of Ongoing Obligations

4.1 Withdrawal and termination

Unless clause 4.2 applies, this Undertaking terminates on the earlier of the date:

- (a) which is eight years after the Commencement Date; or
- (b) stipulated in the ACCC's written consent to the withdrawal of this Undertaking in accordance with section 87B of the CCA.

4.2 Termination if the parties will not complete

This Undertaking will terminate if FOXTEL has notified the ACCC in writing that the parties will not complete the Proposed Acquisition and the ACCC confirms to FOXTEL in writing its receipt of FOXTEL's notification.

4.3 Revocation

The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

4.4 Waiver

The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or amend the date by which any such obligation is to be satisfied.

4.5 Completion

Unless clause 4.2 applies, clauses 1, 2, 3, 4, 14, 15, 16, 17, 18, 19, 20, 21 and Schedule 1 survive completion of the obligations in clauses 5, 6, 7, 8, 9, 10, 11, 12 and 13 and termination of this Undertaking.

5. Acquisition of Movie TVOD Rights

5.1 Movie TVOD Rights

FOXTEL must not enter into any Agreement on an Exclusive Basis in relation to Movie TVOD Rights, unless clause 9 applies or the ACCC provides prior consent to FOXTEL in writing.

5.2 Supply by FOXTEL

Nothing in clause 5.1 prevents FOXTEL from supplying Movie TVOD Rights to third parties exclusively.

5.3 Movie TVOD Rights from Ultimate Shareholder Entities

If a Restricted Supplier has an Agreement, entered into after the Commencement Date, with an Independent Content Supplier of Movies under which the Restricted Supplier is granted Movie TVOD Rights on an Exclusive Basis, FOXTEL must not enter into any Agreement pursuant to which FOXTEL is granted or acquires all or any part of those same

Movie TVOD Rights to which the grant to the Restricted Supplier relates from any person, unless the ACCC provides prior consent to FOXTEL in writing.

6. Acquisition of Movies for Linear Channels and SVOD Services

6.1 Movies for Linear Channels and SVOD Services

FOXTEL must not enter into any Agreement which, either alone or taken together with any other Agreements FOXTEL has entered into, has the effect, directly or indirectly, of conferring on FOXTEL New Distribution Rights to:

- (a) Movies, as part of or for inclusion in one or more Linear Channels or an Entitlement Video On Demand Service, on an Exclusive Basis from:
 - (i) more than 50% (by number) of the Major Studios; or
 - (ii) subject to clause 6.2, more than 50% (by number) of the Independent Studios;
- (b) Movies, for inclusion in a Subscription Video On Demand Service on an Exclusive Basis, except in respect of Current Movies where:
 - (i) the Current Movie is a Movie acquired by FOXTEL on an Exclusive Basis in circumstances not prohibited by clause 6.1(a); and
 - (ii) the period for which FOXTEL is entitled to include the Current Movie in a Subscription Video On Demand Service on an Exclusive Basis does not exceed 18 months, commencing on the date that the Current Movie is available to FOXTEL for inclusion in a Linear Channel or Subscription Video On Demand Service,

unless clause 9 applies or the ACCC provides prior consent to FOXTEL in writing.

6.2 PMP or a Major Studio

Nothing in clause 6.1(a)(ii) prevents FOXTEL from acquiring rights to any Movie from an Independent Studio if FOXTEL is acquiring those rights through PMP or a Major Studio in circumstances not prohibited by clause 6.1(a)(i).

6.3 Grandfathering of Existing Channels

To the extent that FOXTEL acquires rights to any Movie under an Agreement with an Independent Content Supplier entered into prior to the Commencement Date, that Movie is not counted for the purposes of determining the number of Independent Studios or Major Studios with which FOXTEL has an Agreement on an Exclusive Basis for the purposes of clause 6.1(a).

6.4 Supply by FOXTEL

Nothing in clause 6.1 prevents FOXTEL from supplying Movies to third parties exclusively as part of a Linear Channel, Entitlement Video On Demand Service or Subscription Video On Demand Service.

6.5 Movies from Ultimate Shareholder Entities

If one or more Restricted Suppliers has an Agreement, entered into after the Commencement Date, with an Independent Content Supplier under which the Restricted Supplier is granted New Distribution Rights to Movies as part of or for inclusion in:

- (a) a Linear Channel;
- (b) an Entitlement Video On Demand Service; or
- (c) a Subscription Video On Demand Service,

on an Exclusive Basis, then FOXTEL must not, directly or indirectly, acquire all or any part of those rights if, taking into account those rights, FOXTEL would be prohibited from acquiring those New Distribution Rights under clause 6.1(a) or 6.1(b) on an Exclusive Basis, unless the ACCC provides prior consent to FOXTEL in writing.

7. Acquisition of New Distribution Rights to Aggregated Content, EVOD Rights and SVOD Rights

7.1 New Distribution Rights to Aggregated Content and EVOD Rights from Independent Content Suppliers

FOXTEL must not enter into any Agreement on an Exclusive Basis with any Independent Content Supplier in relation to New Distribution Rights to Aggregated Content or New Distribution Rights to EVOD Rights, unless clause 9 applies or the ACCC provides prior consent to FOXTEL in writing.

7.2 New Distribution Rights to SVOD Rights from Independent Content Suppliers

FOXTEL must not enter into any Agreement on an Exclusive Basis with any Independent Content Supplier in relation to New Distribution Rights to SVOD Rights, unless clause 9 applies or the ACCC provides prior consent to FOXTEL in writing.

7.3 Supply by FOXTEL

Nothing in clause 7.1 or 7.2 prevents FOXTEL from supplying New Distribution Rights to:

- (a) Aggregated Content;
- (b) EVOD Rights; or
- (c) SVOD Rights,

to third parties exclusively.

7.4 New Distribution Rights from Ultimate Shareholder

If an Ultimate Shareholder Entity has an Agreement, entered into after the Commencement Date, with an Independent Content Supplier under which the Ultimate Shareholder Entity is granted New Distribution Rights to:

- (a) Aggregated Content;
- (b) EVOD Rights; or

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- (c) SVOD Rights,

on an Exclusive Basis, FOXTEL must not enter into any Agreement pursuant to which FOXTEL is granted or acquires all or any part of those New Distribution Rights to:

- (d) that Aggregated Content;
- (e) those EVOD Rights; or
- (f) those SVOD Rights,

unless the ACCC provides prior consent to FOXTEL in writing.

7.5 Inconsistency

To the extent that FOXTEL is not prohibited from acquiring New Distribution Rights to Movies under clause 6, this clause 7 does not prevent FOXTEL from acquiring those rights and to the extent of any inconsistency, the terms of clause 6 prevail over the terms of this clause 7.

8. Acquisition of Mobile Rights for Companion Devices

FOXTEL must not enter into any Agreement that prevents, or would have the effect of preventing, a person who is granted New Distribution Rights to:

- (a) Aggregated Content;
- (b) SVOD Rights;
- (c) EVOD Rights; or
- (d) Movies,

(individually or collectively the **Acquired Content**) from being granted or acquiring Mobile Rights to:

- (e) all or any part of that same Aggregated Content;
- (f) all or any part of those same SVOD Rights;
- (g) all or any part of those same EVOD Rights; or
- (h) all or any of those same Movies,

provided the Mobile Rights are granted or acquired to enable subscribers who receive the Acquired Content to receive the content referred to in paragraphs (e)-(h) as part of the same subscription or payment of an additional fee (individually or collectively the **Companion Content**).

For the avoidance of doubt, this clause is intended to prohibit FOXTEL entering into any Agreement, including any joint bidding Agreement with any Ultimate Shareholder Entity or any Agreement with an Independent Content Supplier resulting from such a joint bidding Agreement, which prevents or has the effect of preventing Mobile Rights to Companion Content being provided to a person who has New Distribution Rights to the Acquired Content.

9. Exception for Competing Bids

9.1 Exception

Despite clauses 5, 6 and 7, if:

- (a) FOXTEL reasonably considers a Competing Bidder has made a Complying Bid to acquire exclusive rights to content that under this Undertaking FOXTEL would not be permitted to acquire on an Exclusive Basis;
 - (b) a letter has been provided to the ACCC pursuant to clause 9.2; and
 - (c) FOXTEL receives written confirmation from the ACCC pursuant to clause 9.4(a),
- then FOXTEL may enter into an Agreement pursuant to which FOXTEL is granted those rights on an Exclusive Basis.

9.2 Letter from supplier

In order for the exception in clause 9.1 to apply, FOXTEL must procure that the supplier of the relevant content provides the ACCC, on a confidential basis, with a letter that has been signed by a Responsible Officer which contains a statement that the supplier has received a bid other than from FOXTEL to acquire exclusive rights to the relevant content and provides the following information to the extent permitted by the relevant bidder:

- (a) details of the bidder, including the bidder's name and contact details;
- (b) the average price per subscriber or average price per transaction (as applicable) that has been offered, the proposed term of the Agreement and other key terms of the bid, including any additional payments to be made by the bidder during the term of the Agreement and any minimum subscribers commitment;
- (c) where the bid is in writing, a copy of the bid documents;
- (d) whether the bid is being considered in good faith and may be successful;
- (e) whether the supplier has requested or required any bids to be on an exclusive basis; and
- (f) the same information requested in clauses 9.2(a) to 9.2(e) for any other bids for the relevant content, including non-exclusive bids.

9.3 Additional information

FOXTEL may provide the ACCC with additional information or material in relation to the bidding process, and must use reasonable endeavours to procure that the supplier of the relevant content provides any additional information in relation to the bid to the ACCC as soon as possible after a request is made by the ACCC.

9.4 ACCC consideration of a Competing Bid

Within 3 Business Days of receiving a letter pursuant to clause 9.2 or such later time as is agreed between the ACCC and FOXTEL, the ACCC will confirm in writing either that:

- (a) it consents to FOXTEL entering into an Agreement pursuant to which FOXTEL is granted the rights described in clause 9.1(a) on an Exclusive Basis; or

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- (b) if the ACCC is not satisfied that the bid is a Complying Bid from a Competing Bidder, it does not consent to FOXTEL entering into an Agreement pursuant to which FOXTEL is granted the rights described in clause 9.1(a) on an Exclusive Basis and the reasons it is not satisfied.

9.5 Intention of clause 9

For the avoidance of doubt, it is not the intention of this clause 9 to facilitate third parties to acquire exclusive rights to content.

10. Joint or conditional bids

10.1 No joint bids

FOXTEL must not bid jointly or in concert or make or give effect to any joint bidding Agreement with any Ultimate Shareholder Entity where, taken together or separately, FOXTEL and the Ultimate Shareholder Entity will acquire or be granted:

- (a) New Distribution Rights to Aggregated Content from any Independent Content Supplier;
- (b) New Distribution Rights to EVOD Rights from any Independent Content Supplier;
- (c) New Distribution Rights to SVOD Rights from any Independent Content Supplier;
- (d) New Distribution Rights to Movies where FOXTEL is prohibited from acquiring those rights under clause 6.1(a) or 6.1(b); or
- (e) Movie TVOD Rights,
on an Exclusive Basis.

10.2 No conditional bids

FOXTEL must not make a bid for Distribution Rights or New Distribution Rights conditional on or otherwise linked to the grant to any Ultimate Shareholder Entity of:

- (a) New Distribution Rights to Aggregated Content from any Independent Content Supplier;
- (b) New Distribution Rights to EVOD Rights from any Independent Content Supplier;
- (c) New Distribution Rights to SVOD Rights from any Independent Content Supplier;
- (d) New Distribution Rights to Movies where FOXTEL is prohibited from acquiring those rights under clause 6.1(a) or 6.1(b); or
- (e) Movie TVOD Rights,
on an Exclusive Basis.

11. Signal Access to Linear Channels

11.1 FOXTEL to provide signal access to Linear Channels from the Completion Date

From the Completion Date, subject to clauses 11.2 and 11.3, FOXTEL must on request by, and at the cost of, an Independent Content Supplier, provide signal access for Linear Channels produced and/or distributed by that Independent Content Supplier (and which FOXTEL itself distributes to its subscribers) to third parties for transmission by such third parties in the Territory by one of the following methods (at the Independent Content Supplier's election):

- (a) FOXTEL providing the Independent Content Supplier with:
 - (i) appropriate devices to enable the receipt and decrypting of FOXTEL's Linear Channel signal from a satellite nominated by FOXTEL, such as conditional access modules (**CAMs**) and smart cards, the cost to be equivalent to FOXTEL's cost of acquiring the devices required by the third party for that purpose. The Independent Content Supplier shall ensure that it acquires at its cost decoders that are compatible with FOXTEL's systems (as advised by FOXTEL in accordance with sub-paragraph (ii) below). The Independent Content Supplier shall also ensure that the third party complies with FOXTEL's standard operating procedures and security requirements for CAMs and smart cards, including swap outs where required, at the cost of the Independent Content Supplier; and
 - (ii) technical advice, information and reasonable assistance regarding the reception and decoding of the relevant signal, the cost to be at a rate per hour equivalent to FOXTEL's estimated cost of providing that advice and assistance; or
- (b) FOXTEL providing the Independent Content Supplier with:
 - (i) access to FOXTEL's signal of the Independent Content Supplier's Linear Channel at an internet exchange nominated by FOXTEL within the Sydney metropolitan area, the cost for such access to include the cost to FOXTEL of any necessary capital expenditure required to provide the access and reasonable maintenance and operational costs. Where those costs are shared with FOXTEL or another Independent Content Supplier then those costs shall be allocated by FOXTEL, acting reasonably; and
 - (ii) technical advice, information and reasonable assistance regarding the access to the signal, the cost to be at a rate per hour equivalent to FOXTEL's estimated cost of providing that advice and assistance.

11.2 Conditions of signal access

FOXTEL's obligations under clause 11.1 are conditional upon:

- (a) the Independent Content Supplier paying all costs incurred by FOXTEL in connection with the third party accessing the signal of the relevant Linear Channel

within 30 days of invoice by FOXTEL. Such costs may be invoiced as frequently as monthly and up to one month in advance;

- (b) the Independent Content Supplier paying to FOXTEL a reasonable proportion of FOXTEL's costs in receiving the Independent Content Supplier's Linear Channel signal at FOXTEL's Television Centre, including any fees that FOXTEL pays to the Independent Content Supplier in respect of delivery of its Linear Channel signal to FOXTEL;
- (c) the Independent Content Supplier ensuring that the third party uses FOXTEL's signal (and any devices provided by FOXTEL) solely for the purpose of transmitting the Linear Channel signal as authorised by the Independent Content Supplier; and
- (d) the Independent Content Supplier entering into any Agreement with FOXTEL concerning the matters set out in this clause 11 on terms acceptable to FOXTEL, acting reasonably.

11.3 Limitation on provision of access

FOXTEL must use best endeavours to ensure that the signal access provided pursuant to this clause 11 is provided on a continuous basis.

12. Special Access Undertaking

12.1 From the date that is 6 months after the Completion Date and for as long as the Special Access Undertaking applies, FOXTEL will comply with the Special Access Undertaking as if all references to FOXTEL in the Digital Access Agreement (as defined in the Special Access Undertaking) include a reference to AUSTAR.

12.2 FOXTEL must facilitate any reasonable steps by an Independent Content Supplier which, as at the Commencement Date:

- (a) supplies a Linear Channel to AUSTAR; and
- (b) does not supply a Linear Channel to FOXTEL other than under an access agreement pursuant to the Special Access Undertaking,

to communicate with existing subscribers to that channel for the purpose of transitioning those subscribers to a service supplied by the Independent Content Supplier using the Special Access Undertaking at the cost of the Independent Content Supplier.

13. Expiry Dates

Where FOXTEL is a party to an Agreement entered into prior to the Commencement Date and FOXTEL would be prohibited from entering into or renewing that Agreement on an Exclusive Basis after the Commencement Date pursuant to this Undertaking, FOXTEL must not enforce any confidentiality restrictions under that Agreement or otherwise to the extent they prevent the counterparty from disclosing the expiry dates of that Agreement.

14. Independent Audit

14.1 Obligation to appoint an Approved Independent Auditor

- (a) By no later than the Completion Date, FOXTEL must appoint and maintain during the Appointment Period an Approved Independent Auditor to audit and report upon FOXTEL's compliance with this Undertaking.
- (b) Without limiting its obligations in this Undertaking, FOXTEL must:
 - (i) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
 - (ii) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (A) indemnify the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (B) provide and pay for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
 - (iii) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (A) direct FOXTEL personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 14;
 - (B) provide access to the facilities, sites or operations of the Target Business and FOXTEL's other businesses as required by the Approved Independent Auditor;
 - (C) provide to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
 - (D) not request any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
 - (E) not appoint the Approved Independent Auditor, or have any Agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than

compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

14.2 Approval of the Approved Independent Auditor

- (a) At least 15 Business Days before the Completion Date, FOXTEL must provide the ACCC with a Proposed Independent Auditor Notice in the form prescribed in Schedule 2 to this Undertaking.
- (b) After receiving a Proposed Independent Auditor Notice, the ACCC must decide whether to:
 - (i) approve the appointment of the person named in the Proposed Independent Auditor Notice as the Approved Independent Auditor which includes approving:
 - (A) the terms of appointment attached to the Proposed Independent Auditor Notice; and
 - (B) the draft audit plan attached to the Proposed Independent Auditor Notice; or
 - (ii) not approve the person named in the notice as the Proposed Independent Auditor Notice and, at the ACCC's absolute discretion:
 - (A) identify and approve a person as the Approved Independent Auditor;
 - (B) approve the terms of appointment of the Approved Independent Auditor;
 - (C) approve a draft audit plan; and
 - (D) direct the appointment of the Approved Independent Auditor on the Approved Terms of Appointment.
- (c) Without limiting the ACCC's discretion, in making the decisions described in clause 14.2(b), the factors to which the ACCC may have regard include whether:
 - (i) the person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (ii) the person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of FOXTEL;
 - (iii) the terms of appointment and the draft audit plan are consistent with this Undertaking; and
 - (iv) the terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.
- (d) Within 10 Business Days of receiving a Proposed Independent Auditor Notice, the ACCC must notify FOXTEL in writing of its decisions made pursuant to clause 14.2(b).

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- (e) The ACCC may extend the period within which it will provide the notice described in clause 14.2(d) by notifying FOXTEL in writing of the extension within 10 Business Days of receiving a Proposed Independent Auditor Notice.
 - (f) The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

14.3 Appointment of the Approved Independent Auditor

After receiving notice from the ACCC of its decisions pursuant to clause 14.2(b) and by no later than the Completion Date (or if the ACCC has extended the period under clause 14.2(d), by no later than 5 Business Days after the end of that extended period), FOXTEL must:

- (a) appoint the person approved by the ACCC pursuant to clause 14.2(b)(i) or clause 14.2(b)(ii)(A) as the Approved Independent Auditor on the terms of appointment approved by the ACCC pursuant to clause 14.2(b)(i)(A) or clause 14.2(b)(ii)(B); and
- (b) forward to the ACCC a copy of the executed terms of appointment within one Business Day of its execution.

14.4 Obligations and powers of the Approved Independent Auditor

- (a) FOXTEL must procure that the terms of appointment of the Approved Independent Auditor include obligations on the Approved Independent Auditor during the Appointment Period to:
 - (i) maintain his or her independence from FOXTEL, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in clause 2(c) of Schedule 2 with FOXTEL for the period of his or her appointment;
 - (ii) conduct compliance auditing according to the Approved Audit Plan;
 - (iii) provide to the ACCC the following reports directly:
 - (A) a scheduled written Audit Report as described in clause 14.5; and
 - (B) report immediately any issues arising in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking; and
 - (iv) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- (b) FOXTEL must procure that the terms of appointment of the Approved Independent Auditor provide the Approved Independent Auditor with the authority during the Appointment Period to:

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- (i) access the facilities, sites or operations of FOXTEL's businesses (including the Target Business after it has been acquired by FOXTEL) as required by the Approved Independent Auditor;
 - (ii) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
 - (iii) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.
- (c) Nothing in this clause 14 requires FOXTEL to provide any information or documents that are the subject of legal professional or other privilege.

14.5 Compliance Audit

- (a) The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) on:
- (i) FOXTEL's compliance with this Undertaking;
 - (ii) all of the reasons for the conclusions reached in the Audit Report;
 - (iii) any qualifications made by the Approved Independent Auditor in forming his or her views;
 - (iv) any recommendations by the Approved Independent Auditor to improve:
 - (A) the Approved Audit Plan;
 - (B) the integrity of the auditing process;
 - (C) FOXTEL's processes or reporting systems in relation to compliance with this Undertaking;
 - (D) FOXTEL's compliance with this Undertaking,**(Auditor Recommendations)**; and
 - (v) the implementation and outcome of any prior Auditor Recommendations by the Approved Independent Auditor.
- (b) The Approved Independent Auditor is to provide an Audit Report to FOXTEL and the ACCC at the following times during the Appointment Period:
- (i) an initial report to be provided on the date which is 3 months after the Completion Date at which time the Audit Report is to include any recommended changes to the Approved Audit Plan (the **Establishment Audit**);
 - (ii) for a period of 2 years following the date that the initial Audit Report is provided, every 6 months after the date that the initial Audit Report is provided until the end of the Appointment Period;

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- (iii) the final Audit Report is due 6 months (or such other date as has been advised to FOXTEL by the ACCC in writing) after the completion of the obligations in clauses 5, 6, 7, 8, 9, 10, 11, 12 and 13 irrespective of whether the ACCC provides notice to FOXTEL under clause 14.5(d)(i); and
 - (iv) otherwise at the request of the ACCC until the final Audit Report in clause 14.5(b)(iii) has been provided and the ACCC notifies FOXTEL in writing that the obligations with respect to the final Audit Report have been completed.
 - (c) After the period ending 2 years following the date that the initial Audit Report is provided, FOXTEL may notify the ACCC that it wishes to amend the frequency of the Audit Report so that it is provided every 12 months.
 - (d) Within 10 Business Days of receiving the notice from FOXTEL pursuant to clause 14.5(c) the ACCC will notify FOXTEL of its decision to:
 - (i) vary the frequency of the audit period from 6 monthly to 12 monthly; or
 - (ii) require that the Audit Reports continue to be provided on a 6 monthly basis.
 - (e) Subject to clause 14.5(f), FOXTEL must implement any Auditor Recommendations and notify the ACCC of the implementation of the Auditor Recommendations within 20 Business Days of receiving the Audit Report subject to clause 14.5(f) or any other period as agreed in writing with the ACCC.
 - (f) If FOXTEL does not agree with an Auditor Recommendation or it does not consider that it will be in a position to implement an Auditor Recommendation within 20 Business Days:
 - (i) FOXTEL must notify the ACCC in writing of the reasons within 10 Business Days of receiving the Audit Report;
 - (ii) the ACCC will provide FOXTEL with a direction in relation the Auditor Recommendation within 10 Business Days of notification pursuant to clause 14.5(f)(i); and
 - (iii) FOXTEL must comply with any direction of the ACCC given under clause 14.5(f)(ii) within 10 Business Days of being so directed (or such other period as agreed in writing with the ACCC).

14.6 Resignation or termination of the Approved Independent Auditor

- (a) FOXTEL must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor before the termination of this Undertaking pursuant to clause 4.1, or before the ACCC has revoked this Undertaking pursuant clause 4.3, whichever is the earlier.
- (b) The ACCC may approve any proposal by, or alternatively may direct, FOXTEL to terminate the appointment of the Approved Independent Auditor if in the ACCC's

view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the terms of his or her appointment.

- (c) If either clause 14.6(a) or 14.6(b) applies, FOXTEL must provide the ACCC with a Proposed Independent Auditor Notice within 10 Business Days of the resignation or termination of the Approved Independent Auditor, otherwise clause 14.2(b)(ii) applies.

15. Information

- (a) FOXTEL must notify the ACCC and the Approved Independent Auditor in writing of the Completion Date by no later than two Business Days prior to the occurrence of the Completion Date.
- (b) From the Commencement Date, the ACCC may direct FOXTEL in respect of its compliance with this Undertaking to, and FOXTEL must:
- (i) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (ii) produce documents and materials to the ACCC within FOXTEL's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff, its representatives, its advisors or its agents) may have.
- (c) Any direction made by the ACCC under clause 15(b) will be notified to FOXTEL, in accordance with clause 20.
- (d) In respect of FOXTEL's compliance with this Undertaking or the Approved Independent Auditor's compliance with its terms of appointment, the ACCC may request any Approved Independent Auditor to:
- (i) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (ii) produce documents and materials to the ACCC within the auditor's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff, its representatives, its advisors or its agents) may have.
- (e) FOXTEL will use its best endeavours to ensure that the Approved Independent Auditor complies with any request from the ACCC in accordance with clause 15(d).
- (f) Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 15 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- (g) The ACCC may in its discretion to be exercised in good faith:

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- (i) advise the Approved Independent Auditor of any request made by it under this clause 15; and/or
 - (ii) provide copies to the Approved Independent Auditor of any information furnished, documents and material produced or information given to it under this clause 15.
 - (h) Nothing in this clause 15 requires FOXTEL to provide any information or documents that are the subject of legal professional or other privilege.

16. Disclosure of this Undertaking

- (a) FOXTEL acknowledges that the ACCC may:
 - (i) make this Undertaking publicly available;
 - (ii) publish this Undertaking on its Public Section 87B Undertakings Register; and
 - (iii) from time to time publicly refer to this Undertaking.
- (b) Nothing in clause 16(a) prevents the ACCC from disclosing such information where disclosure is:
 - (i) required by law;
 - (ii) permitted by s 155AAA of the CCA;
 - (iii) necessary for the purpose of enforcement action under section 87B of the CCA; or
 - (iv) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- (c) Nothing in clause 16(a) prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

17. Obligation to Procure

Where the performance of an obligation under this Undertaking requires a Subsidiary of FOXTEL to take or refrain from taking some action, FOXTEL will procure that Subsidiary to take or refrain from taking that action, as the case may be.

18. No Derogation

- (a) This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by FOXTEL of any term of this Undertaking.
- (b) Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the CCA for penalties or other remedies in the event that FOXTEL does not fully implement and/or perform its obligations under this Undertaking or in

any other event where the ACCC decides to take action under the CCA for penalties or other remedies.

19. Costs

FOXTEL must pay all of its own costs incurred in relation to this Undertaking.

20. Notices

20.1 Giving Notices

- (a) Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Mergers and Adjudication Group

With an email copy sent to:

mergersucu@accc.gov.au
Director, Undertakings Compliance Unit
Merger Coordination and Strategy Branch

- (b) Any notice or communication to FOXTEL pursuant to this Undertaking must be sent to:

Name: FOXTEL Management Pty Limited
Address: 5 Thomas Holt Drive, North Ryde NSW 2113
Email: lynette.ireland@foxtel.com.au
Fax number: (02) 9813 6113
Attention: Chief General Counsel

- (c) If sent by post, notices are taken to be received 3 days after posting (or 7 days after posting if sent to or from a place outside Australia).
- (d) If sent by fax, notices are taken to be received at the time shown in the transmission report as the time that the whole fax was sent.

20.2 Change of contact details

- (a) FOXTEL or the ACCC must notify the other party of a change to its contact details within 3 Business Days.
- (b) Any notice or communication will be sent to the contact details most recently advised pursuant to clause 20.2(a).

21. Defined terms and interpretation

21.1 Definitions in the Dictionary

A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Clause 1 of Schedule 1 (*Dictionary*), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act or the CCA, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act or the CCA as applicable.

21.2 Interpretation

Clause 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an undertaking

Executed by FOXTEL Management Pty Limited (ACN 068 671 938) pursuant to section 127(1) of the Corporations Act 2001 by:



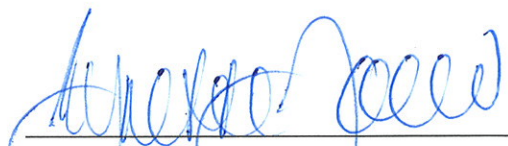
Signature of director

RICHARD FREUDENSTEIN

Name of director (print)

9/04/2012

Date



Signature of director/company secretary

LYNETTE IRELAND

Name of director/company secretary
(print)

9/04/2012

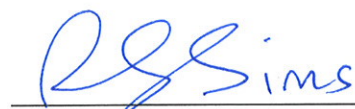
Date

Accepted under delegation from the Australian Competition and Consumer Commission by the Chairman of the Australian Competition and Consumer Commission pursuant to section 87B of the Competition and Consumer Act 2010 on:

9/04/2012

Date

And signed on behalf of the Commission:



Chairman

9/04/2012

Date

Schedule 1 – Dictionary and Interpretation

1. Dictionary

A & E Channel Content means programs supplied to FOXTEL for inclusion in the Linear Channel produced by FOXTEL branded the 'A & E Channel' under one or more Agreements between FOXTEL and A & E Television Network LLC.

ACCC means the Australian Competition and Consumer Commission.

Acquired Content has the meaning given in clause 8.

Affiliated Content Supplier means:

- (a) an Ultimate Shareholder Entity;
- (b) a Related Body Corporate of FOXTEL;
- (c) any other joint venture, association, or Entity in which:
 - (i) FOXTEL; or
 - (ii) an Ultimate Shareholder Entity,has an economic interest that directly or indirectly entitles it to 50% or more of the capital or profits of the joint venture, association or Entity; and
- (d) PMP, but only:
 - (i) in respect of any Linear Channel or Entitlement Video on Demand Service produced and supplied by PMP to FOXTEL as at the Commencement Date; and
 - (ii) if, at the time FOXTEL enters into any Agreement with PMP, that Agreement is not prohibited under clause 6,

but excludes the Entity that holds the right to license the New Distribution Rights for the following Linear Channels in the Territory:

- (a) National Geographic channel;
- (b) National Geo Adventure channel; and
- (c) Nat Geo Wild channel,

but only in respect of those channels or any successor or replacement channels licensed by that Entity that are substantially similar to those channels.

Aggregated Content means:

- (a) a Linear Channel supplied by an Independent Content Supplier; or
- (b) programs (not including A&E Channel Content, any sports rights or sports programs) supplied by an Independent Content Supplier:
 - (i) which form part of a single Linear Channel broadcast or licensed for broadcast by the Independent Content Supplier outside the Territory; and

- (ii) which comprise greater than 50% of the programs included in a single Linear Channel produced by or for FOXTEL (or, for the purpose of clause 7.4, an Ultimate Shareholder Entity, where the Linear Channel produced by or for the Ultimate Shareholder Entity is solely for license or broadcast in the Territory), which have not been included in that Linear Channel during the previous 12 months (**First Transmission Programs**) calculated as follows:

$$\text{Percentage} = \frac{\text{No. of hours of First Transmission Programs supplied by the Independent Content Supplier broadcast on the Linear Channel during the previous 12 months}}{\text{Total no of hours of First Transmission Programs broadcast on that Linear Channel during the previous 12 months}} \times 100$$

The above calculation will be made on a financial year basis.

For the avoidance of doubt, Aggregated Content does not include individual programs that are not delivered to subscribers as part of a Linear Channel.

Agreement means any contract, arrangement or understanding including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

Appointment Period means the period from the date of the appointment of the Approved Independent Auditor under clause 14.2(b)(i) or 14.2(b)(ii)(A) until the date that the ACCC notifies FOXTEL in writing that the obligations with respect to the final Audit Report under clause 14.5(b)(iii) have been completed.

Approved Audit Plan means the plan approved by the ACCC under clause 14.2(b)(i)(B) or clause 14.2(b)(ii)(C), as amended from time to time by ACCC direction given under clause 14.4(a)(iv), by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Independent Auditor means the person appointed under clause 14.2(b)(i) or clause 14.2(b)(ii)(A).

Approved Terms of Appointment means the terms of appointment for the Approved Independent Auditor approved by the ACCC in accordance with clause 14.2(b).

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Auditor Recommendations has the meaning in clause 14.5(a)(iv).

Audit Report has the meaning given in clause 14.5(a).

AUSTAR has the meaning given in clause 2.1.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

Cable means a telecommunications network which delivers communications to customer premises via:

- (a) a network which is predominantly a hybrid of optical fibre and coaxial cable but parts of which may include optical fibre alone; or
- (b) a fibre to the premises network (also known as FTTP) owned by Telstra or any of its Related Bodies Corporate.

CCA means the *Competition and Consumer Act 2010* (Cth).

CMH means Consolidated Media Holdings Limited (ACN 009 071 167).

Commencement Date means the date described in clause 3.

Companion Content has the meaning given in clause 8.

Competing Bidder means, for the purposes of clause 9, a bidder that is not:

- (a) an Affiliated Content Supplier;
- (b) a Related Entity of an Affiliated Content Supplier; or
- (c) a Related Party of an Affiliated Content Supplier.

Completion Date means the date when FOXTEL acquires, directly or indirectly:

- (a) control of AUSTAR as defined in section 50AA of the Corporations Act;
- (b) more than one half of the issued share capital of AUSTAR;
- (c) the right to cast, or to control the casting of, more than one half of the maximum number of votes that might be cast at a general meeting of AUSTAR; or
- (d) a majority of the assets of the Target Business.

Complying Bid means a bid made by a Competing Bidder that is:

- (a) a bona fide bid;
- (b) genuinely competitive;
- (c) made in good faith;
- (d) capable of leading to a binding contract if the bid is accepted by the supplier; and
- (e) not made under duress or influence from FOXTEL or an Affiliated Content Supplier, or the supplier of the relevant content.

Corporations Act means the *Corporations Act 2001* (Cth).

Current Movie means a Movie which has not previously been distributed in the Territory as part of a Linear Channel on a subscription basis or Subscription Video On Demand Service.

Distribution Rights means:

- (a) the rights to distribute programming on a subscription basis to subscribers via Cable and Satellite, by way of any technology including analogue, digital and Internet Protocol (but in relation to Cable, only on the Telstra Cable); and
- (b) Mobile Rights.

Entitlement Video On Demand Service means a service that makes available television programs to consumers on an on demand basis where the consumers' entitlement is determined by reason of their subscription to a Linear Channel. For the avoidance of doubt, an Entitlement Video On Demand Service excludes:

- (a) a Subscription Video On Demand Service;
- (b) a service which makes available a single television program to consumers in the Territory for which a separate fee is charged to such consumers for the ability to view a single or multiple exhibition of the television program during a specified limited viewing period where such fee is unaffected by the purchase of any other television programs, products or services on demand basis;
- (c) any other service where no fee is payable by the recipient (such as advertising-supported VOD); and
- (d) a service that supplies television programs on a home video/DVD or EST basis.

Entity has the meaning given in section 64A of the Corporations Act.

EST means electronic sell through.

Establishment Audit has the meaning given in clause 14.5(b)(i).

EVOD Rights means the right which is acquired from an Independent Content Supplier of a Linear Channel to include television programs that form part of that Linear Channel supplied by that Independent Content Supplier and which is broadcast or licensed for broadcast in the Territory on a subscription basis, as part of an Entitlement Video On Demand Service during the same period for which the relevant television programs are licensed to be included as part of that Linear Channel.

Exclusive Basis means:

- (a) in relation to Movie TVOD Rights, a basis that:
 - (i) expressly prevents or has the effect of preventing the grant to any person of Movie TVOD Rights; or
 - (ii) without limiting paragraph (a)(i), either:
 - (A) restricts the terms on which the supplier may grant Movie TVOD Rights to any person; or
 - (B) requires the supplier to amend the terms of any Agreement with FOXTEL or a Restricted Supplier in a way that is favourable to FOXTEL or a Restricted Supplier, if the supplier grants Movie TVOD Rights to any person, or if the supplier grants those rights on specified terms;
- (b) in relation to New Distribution Rights to Movies, a basis that:
 - (i) expressly prevents or has the effect of preventing the grant to any person of New Distribution Rights to Movies; or
 - (ii) without limiting paragraph (b)(i), either:

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- (A) restricts the terms on which the supplier may grant New Distribution Rights to Movies to any person; or
 - (B) requires the supplier to amend the terms of any Agreement with FOXTEL or a Restricted Supplier in a way that is favourable to FOXTEL or a Restricted Supplier, if the supplier grants New Distribution Rights to Movies to any person, or if the supplier grants those rights on specified terms;
 - (c) in relation to New Distribution Rights to Aggregated Content, a basis that:
 - (i) expressly prevents or has the effect of preventing the grant to any person of New Distribution Rights to Aggregated Content; or
 - (ii) without limiting paragraph (c)(i), either:
 - (A) restricts the terms on which the supplier may grant New Distribution Rights to Aggregated Content to any person; or
 - (B) requires the supplier to amend the terms of any Agreement with FOXTEL or an Ultimate Shareholder Entity in a way that is favourable to FOXTEL or an Ultimate Shareholder Entity, if the supplier grants New Distribution Rights to Aggregated Content to any person, or if the supplier grants those rights on specified terms;
 - (d) in relation to New Distribution Rights to SVOD Rights, a basis that:
 - (i) expressly prevents or has the effect of preventing the grant to any person of New Distribution Rights to SVOD Rights; or
 - (ii) without limiting paragraph (d)(i), either:
 - (A) restricts the terms on which the supplier may grant New Distribution Rights to SVOD Rights; or
 - (B) requires the supplier to amend the terms of any Agreement with FOXTEL or an Ultimate Shareholder Entity in a way that is favourable to FOXTEL or an Ultimate Shareholder Entity, if the supplier grants New Distribution Rights to SVOD Rights to any person, or if the supplier grants those rights on specified terms;
 - (e) in relation to New Distribution Rights to EVOD Rights, a basis that:
 - (i) expressly prevents or has the effect of preventing the grant to any person of New Distribution Rights to EVOD Rights; or
 - (ii) without limiting paragraph (e)(i), either:
 - (A) restricts the terms on which the supplier may grant New Distribution Rights to EVOD Rights; or
 - (B) requires the supplier to amend the terms of any Agreement with FOXTEL or an Ultimate Shareholder Entity in a way that is favourable to FOXTEL or an Ultimate Shareholder Entity, if the

supplier grants New Distribution Rights to EVOD Rights to any person, or if the supplier grants those rights on specified terms, but in all cases excludes an MFN.

FOX SPORTS Australia means FOX SPORTS Australia Pty Limited (ACN 065 445 418).

FOXTEL has the meaning given in clause 1.

FOXTEL Group means FOXTEL, any Subsidiary of FOXTEL, the FOXTEL Television Partnership, Customer Services Pty Limited (ACN 069 272 117) and FOXTEL Cable Television Pty Limited (ACN 069 008 797).

FOXTEL Television Centre means the FOXTEL television centre located at 5 Thomas Holt Drive, North Ryde NSW 2113 as at the Commencement Date.

Holding Company has the meaning given in the Corporations Act, but as if references to:

- (a) "body corporate" were to "Entity"; and
- (b) "subsidiaries" include Subsidiaries as defined for the purposes of this Undertaking.

Independent Content Supplier means a supplier of content that is not an Affiliated Content Supplier.

Independent Studio means:

- (a) Hopscotch;
- (b) Hoyts;
- (c) Palace;
- (d) Rialto;
- (e) Icon;
- (f) Lionsgate;
- (g) Transmission; and
- (h) Madman,

and any successor Entity to one of the above, whether acting directly, or indirectly through a Related Body Corporate or distributor that has been authorised to enter into Agreements to grant New Distribution Rights in respect of any Movie in the Territory.

Where an Independent Studio has the right to grant New Distribution Rights in the Territory on behalf of another Independent Studio, the Independent Studio with those New Distribution Rights shall be deemed to be the Independent Studio to which clause 6 applies.

For the avoidance of doubt, if one of the Entities referred to in paragraphs (a) – (h) (the **Acquired Studio**) becomes a Related Body Corporate of another Entity referred to in those paragraphs, the Acquired Studio will continue to be treated for all purposes under this Undertaking as a separate Independent Studio.

Internet Protocol means the protocol as defined by IETF RFC 791 or its successors.

IPTV has the meaning given in clause 2.3(e)(ii).

Liberty has the meaning given in clause 2.1(d).

Linear Channel means television programs (including Movies) packaged and consecutively scheduled for distribution as a single branded content service and which are made available to consumers on a point to multipoint basis but does not include programs made available on demand or on a point-to-point basis.

Major Studios means:

- (a) Twentieth Century Fox Film Corporation;
- (b) The Walt Disney Company;
- (c) Metro-Goldwyn-Mayer Studios Inc.;
- (d) NBC Universal, Inc.;
- (e) Paramount Pictures Corporation;
- (f) Sony Pictures Entertainment Inc.;
- (g) Warner Bros. Entertainment Inc.; and
- (h) Village Roadshow Limited,

and any successor Entity to one of the above, whether acting directly, or indirectly through a Related Body Corporate or distributor that has been authorised to enter into Agreements to grant New Distribution Rights in respect of any Movie in the Territory.

Where a Major Studio has the right to grant New Distribution Rights in the Territory on behalf of another Major Studio, the Major Studio with those New Distribution Rights shall be deemed to be the Major Studio to which clause 6 applies.

For the avoidance of doubt, if one of the Entities referred to in paragraphs (a) – (h) (the **Acquired Studio**) becomes a Related Body Corporate of another Entity referred to in those paragraphs, the Acquired Studio will continue to be treated for all purposes under this Undertaking as a separate Major Studio.

MFN means a "most favoured nation" clause which:

- (a) for the purposes of clause 5, applies if the supplier grants the equivalent Movie TVOD Rights to a third party at a price per transaction that is more favourable to the third party than the price per transaction payable by FOXTEL or a Restricted Supplier;
- (b) for the purposes of clause 6, applies if the supplier grants the equivalent New Distribution Rights to Movies to a third party at a Price Per Subscriber or SVOD Price Per Subscriber (as applicable) that is more favourable to the third party than the Price Per Subscriber or SVOD Price Per Subscriber payable by FOXTEL or a Restricted Supplier;
- (c) for the purposes of clause 7, applies if the supplier grants any of the equivalent New Distribution Rights to:
 - (i) Aggregated Content to a third party at a Price Per Subscriber that is more favourable to the third party than the Price Per Subscriber payable by FOXTEL or an Ultimate Shareholder Entity; or

-
- (ii) SVOD Rights to a third party at a Price Per Subscriber or SVOD Price Per Subscriber (as applicable) that is more favourable to the third party than the Price Per Subscriber or SVOD Price Per Subscriber payable by FOXTEL or an Ultimate Shareholder Entity,

and which has the effect that the price per transaction, Price Per Subscriber or SVOD Price Per Subscriber paid by FOXTEL to the supplier is reduced to the price paid by the third party.

Mobile Devices means portable mobile electronic devices (such as personal mobile phones, personal digital assistants, tablets and mobile internet devices) which incorporate functionality that allows viewing of audiovisual programs.

Mobile Networks means 3G and 4G cellular networks, successor cellular networks and any wireless networks intended in whole or part for mobile telecommunications in existence during the term of this Undertaking.

Mobile Rights means the right to distribute programming on a subscription basis to subscribers by way of Mobile Networks to Mobile Devices where the Mobile Network enables the Mobile Device to have mobility between cells.

Movie means a feature-length movie that has been theatrically released in the USA, United Kingdom or Australia.

Movie TVOD Rights means the rights to distribute a single Movie to consumers in the Territory for which a separate fee is charged to such consumers for the ability to view a single or multiple exhibition of such Movie during a specified limited viewing period, at a time selected solely by the consumer, where such fee is unaffected by the purchase of any other Movies, programs, products or services. For the avoidance of doubt, the Movie TVOD Rights exclude (i) the rights to distribute Movies as part of a Subscription Video On Demand Service or Entitlement Video On Demand Service; (ii) where no fee is payable by the recipient (such as advertising-supported VOD); or (iii) on a home video/DVD or EST basis.

New Distribution Rights means the right to distribute programs (including Movies) on a subscription basis to subscribers in the Territory via any means other than the Distribution Rights.

News means News Corporation, a Delaware corporation.

PMP means the Premium Movie Partnership (ARBN 93 596 987 064), which at the Commencement Date is a partnership between Twentieth Century Fox Pay Television (Australia) Pty Limited (ACN 004 004 960); Paramount Films of Australia Inc, (ARBN 070 261 184); SPE Australian Ventures Pty Limited (ACN 065 184 536); Universal Studios Pay Television Australia LLC (ARBN 067 665 383) and Liberty Movies Australia Pty Ltd (ACN 065 445 481).

Price Per Subscriber means the sum of the average monthly fixed cost and average monthly licence fee, where:

- (a) the average monthly fixed cost equals the total of all fixed costs payable by the recipient per annum pursuant to the Agreement between the supplier and the

recipient (such costs to include, without limitation, fixed licence fees, infrastructure costs and marketing and other contributions made by the recipient) divided by the total number of recipient subscribers to the content the subject of the Agreement, and divided by 12, but excluding any fixed costs that are not for the benefit of, or connected to the distribution of the content to, the New Distribution Rights subscribers; and

- (b) the average monthly licence fee equals the average per subscriber monthly licence fee payable by the recipient (taking into account any volume discounts to which it is entitled).

Proposed Acquisition has the meaning given in clause 2.1(e).

Proposed Independent Auditor means the person named in the Proposed Independent Auditor Notice pursuant to clause 14.2(a).

Proposed Independent Auditor Notice means a completed notice in the form prescribed in Schedule 2 of this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Independent Auditor.

Related Body Corporate has the meaning given in the Corporations Act, but as if references to:

- (a) "body corporate" and "body" were to "Entity";
- (b) "subsidiary" include Subsidiaries as defined for the purposes of this Undertaking; and
- (c) "holding company" include Holding Companies as defined for the purposes of this Undertaking.

Related Entities has the meaning given by section 9 of the Corporations Act.

Related Parties has the meaning given by section 228 of the Corporations Act, as if references to a public company in that section include references to an Entity.

Responsible Officer is a senior officer of a relevant content supplier that is authorised to sign on behalf of the content supplier. A Responsible Officer must be:

- (a) a Company Secretary;
- (b) a Director;
- (c) the Chief Executive Officer;
- (d) the Chief Financial Officer; or
- (e) another senior officer of the supplier who is authorised to negotiate content supply arrangements on behalf of the content supplier and who has detailed knowledge of the bid referred to in clause 9.2.

Restricted Supplier means an Ultimate Shareholder Entity other than Twentieth Century Fox Film Corporation or its Subsidiaries.

Satellite means delivery primarily by satellite, including satellite master antenna television (SMATV).

Sky Cable means Sky Cable Pty Limited (ACN 069 799 640).

Special Access Undertaking means the Special Access Undertaking to the Australian Competition & Consumer Commission dated 1 December 2006 given by FOXTEL Management Pty Limited for and on behalf of the FOXTEL Partnership and FOXTEL Cable Television Pty Limited, a copy of which is annexed as Annexure A.

Subscription broadcasting service and subscription narrowcasting service have the same meaning as given to them in the Broadcasting Services Act 1992 (Cth).

Subscription Television Service means a content service that provides television programs to consumers in the Territory where the service is:

- (a) a subscription broadcasting service; or
- (b) a subscription narrowcasting service.

Subscription Video On Demand Service means a service that makes available television programs to consumers on an on demand basis for a periodic or subscription fee. For the avoidance of doubt, a Subscription Video On Demand Service excludes:

- (a) an Entitlement Video On Demand Service;
- (b) a service which makes available a single television program to consumers in the Territory for which a separate fee is charged to such consumers for the ability to view a single or multiple exhibition of the television program during a specified limited viewing period where such fee is unaffected by the purchase of any other television programs, products or services on demand basis;
- (c) a service where no fee is payable by the recipient (such as advertising-supported VOD); and
- (d) a service that supplies television programs on a home video/DVD or EST basis.

Subsidiary has the meaning given by the Corporations Act but so that:

- (a) Entities other than bodies corporate may have Subsidiaries;
- (b) an Entity will also be considered to be a Subsidiary of a company or other Entity if it is controlled by that company or other Entity;
- (c) a trust may be a Subsidiary, for the purpose of which a unit or other beneficial interest will be regarded as a share; and
- (d) an Entity may be a Subsidiary of a trust if it would have been a Subsidiary if that trust were a corporation.

Expressions used in this definition have the meaning given for the purposes of Division 6 of Part 1.2 of the Corporations Act.

SVOD Price Per Subscriber means the total of all costs payable by FOXTEL per annum for the SVOD Rights, divided by the total number of recipient subscribers for those SVOD Rights.

SVOD Rights means the right which is acquired from an Independent Content Supplier of a Linear Channel to include television programs that form part of that Linear Channel supplied by that Independent Content Supplier and which is broadcast or licensed for broadcast in the Territory on a subscription basis, as part of a Subscription Video On

Demand Service while those rights are licensed to or otherwise held by that Independent Content Supplier.

Target Business means the business conducted by AUSTAR.

Telstra means Telstra Corporation Limited (ACN 051 775 556).

Telstra Cable means the Cable owned by Telstra or its Related Bodies Corporate other than the section of that Cable used to deliver Internet services.

Telstra Media means Telstra Media Pty Limited (ACN 069 279 027).

Territory means Australia.

Transaction Documents has the meaning given in clause 2.1(e).

Twentieth Century Fox Film Corporation means Twentieth Century Fox Film Corporation, a Delaware Corporation.

Ultimate Shareholder means any shareholder in FOXTEL from time to time during the term of this Undertaking and at the Commencement Date and for so long as they have a direct or indirect interest in FOXTEL means Telstra, Telstra Media, Sky Cable, FOX SPORTS Australia, News and CMH.

Ultimate Shareholder Entity means an Ultimate Shareholder or one of its Related Bodies Corporate, or an Entity in which the only shareholders or participants are one or more of the Ultimate Shareholders, or their respective Related Bodies Corporate but excludes any member of the FOXTEL Group.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the CCA.

2. Interpretation

In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to FOXTEL includes the FOXTEL Group;
- (f) a reference in this Undertaking to any Agreement or document is to that Agreement or document as amended, novated, supplemented or replaced;

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- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
 - (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
 - (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
 - (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
 - (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
 - (l) a construction that would promote the purpose - or object – underlying this Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
 - (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in this Undertaking and the competition concerns intended to be addressed by this Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in this Undertaking and the purpose or object underlying this Undertaking, leads to a result that does not promote the purpose or object underlying this Undertaking;
 - (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to:
 - (i) the effect that reliance on the ordinary meaning conveyed by the text of the clause would have (taking into account its context in this Undertaking and whether that meaning promotes the purpose or object of this Undertaking); and
 - (ii) the need to ensure that the result of this Undertaking is to completely address any ACCC competition concerns;
 - (o) a reference to 'entering into an Agreement' includes an Agreement that is entered into in writing or orally, or an Agreement evidenced by conduct. Taking steps after the Commencement Date to formalise (but not to materially alter or extend) an Agreement that was in existence before the Commencement Date will not be taken to be 'entering into an Agreement' for the purposes of this Undertaking;
 - (p) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this

Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;

- (q) in performing its obligations under this Undertaking, FOXTEL will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking; and
- (r) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a person includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Schedule 2 — Proposed Independent Auditor Notice

Proposed Independent Auditor Notice

This form sets out the information required by the ACCC in relation to the Proposed Independent Auditor.

Please note in relation to information given on in relation to this form, giving false or misleading information is a serious offence.

Method of Delivery to the ACCC

The completed Proposed Independent Auditor Notice, along with the additional requested information is to be provided to the ACCC with the subject line "Proposed Independent Auditor Notice – Undertaking to the Australian Competition and Consumer Commission Given under section 87B of the Competition and Consumer Act 2010 by FOXTEL Management Pty Limited (for and on behalf of the FOXTEL Partnership)" to the below email addresses:

1. mergers@accc.gov.au
Attention: Executive General Manager
Mergers and Adjudication Group
2. With an email copy sent to:
mergersucu@accc.gov.au
Attention: Director
Undertakings Compliance Unit
Merger Coordination and Strategy Branch

Information Required

The ACCC requires the following information in order to assess a Proposed Independent Auditor:

1. Proposed Independent Auditor Details:

- (a) the name of the Proposed Independent Auditor; and
- (b) the name of the Proposed Independent Auditor's employer and contact details including:
 - Address;
 - Contact name;
 - Telephone number;
 - Other contact details.

2. A submission containing the following information:

- (a) Details of the Proposed Independent Auditor's qualifications and experience relevant to his or her proposed role pursuant to this Undertaking.

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- (b) The names of the [owner/s and the directors (delete any that do not apply)] of [the Proposed Independent Auditor's employer].
- (c) Details of any of the following types of relationships between FOXTEL and [the Proposed Independent Auditor] or [the Proposed Independent Auditor's employer] or confirmation that no such relationship exists whether within Australia or outside of Australia:
- (i) FOXTEL and [the Proposed Independent Auditor's employer] are Associated Entities.
 - (ii) FOXTEL is an Entity Connected with [the Proposed Independent Auditor's employer].
 - (iii) [The Proposed Independent Auditor's employer] is an Entity Connected with FOXTEL.
 - (iv) FOXTEL and [the Proposed Independent Auditor's employer] are Related Entities.
 - (v) FOXTEL and [the Proposed Independent Auditor's employer] are Related Parties.
 - (vi) Any Related Party, Related Entity or Entity Connected with FOXTEL is a Related Party, Related Entity or Entity Connected with [the Proposed Independent Auditor].
 - (vii) FOXTEL and [the Proposed Independent Auditor] or [the Proposed Independent Auditor's employer] have a contractual relationship or had one within the past three years, other than those attached to this form.
 - (viii) [the Proposed Independent Auditor's employer] is a supplier of FOXTEL or has been in the past three years.
 - (ix) FOXTEL is a supplier of the [the Proposed Independent Auditor's employer] or has been in the past three years.
 - (x) Any other relationship between FOXTEL and [the Proposed Independent Auditor] or [the Proposed Independent Auditor's employer] that allows one to affect the business decisions of the other.
- (d) A document outlining the terms of appointment of the Proposed Independent Auditor.

3. Specific Information required

The ACCC requires the below information in relation to Proposed Independent Auditor:

The finalised draft audit plan for the FOXTEL business in the context of this Undertaking, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the Establishment Audit and the Audit Report.

Annexure A